



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB4030: rates; fees; taxes; increase; moratorium

OLSON FLOOR AMENDMENT

1. States that the moratorium on municipal and county fees, taxes and utility rates does not apply to ad valorem taxes or special assessments levied to pay for:
 - a. the principal, interest and redemption charges on bonded indebtedness and other lawful long-term obligations;
 - b. property improvement assessment districts, improvement districts and other special purpose districts; and
 - c. the support of a school district. (Sec. 1, 3)
2. Excepts a municipality that has not raised utility rates by twelve percent or more in the prior four fiscal years from the moratorium but only allows an increase of more than that of inflation determined by the consumer price index. (Sec. 1)
3. Allows a municipality to adopt, impose or collect a new or increased rate or fee to fund the acquisition and delivery of new or additional water resources. (Sec. 1)

VINCE PEREZ

3/11/2026

(602) 926-3848

OLSON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4030
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 9, chapter 4, article 8, Arizona Revised Statutes,
3 is amended by adding section 9-500.54, to read:

4 9-500.54. Municipal fees; taxes; utility rates; increase;
5 moratorium; applicability; enforcement;
6 definitions

7 A. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION OR
8 RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE 30, 2030, A MUNICIPALITY
9 MAY NOT ADOPT, IMPOSE OR COLLECT ANY OF THE FOLLOWING:

10 1. A FEE THAT IS IN AN AMOUNT GREATER THAN THE AMOUNT THAT IS
11 AUTHORIZED IN THE FEE SCHEDULE THAT HAS BEEN ADOPTED BY THE MUNICIPALITY
12 AS PART OF THE MUNICIPALITY'S 2025-2026 FISCAL YEAR BUDGET, INCLUDING ANY
13 FEE SCHEDULE THAT IS ADOPTED BY AN ORDINANCE OR RESOLUTION OR THAT IS
14 INCORPORATED BY REFERENCE.

15 2. ANY TRANSACTION PRIVILEGE TAX OR SURCHARGE INCREASE BEYOND THE
16 RATE THAT IS IN EFFECT ON JUNE 30, 2026.

17 3. A RATE THAT IS IMPOSED FOR UTILITY SERVICE PROVIDED BY THE
18 MUNICIPALITY AND THAT IS GREATER THAN THE UTILITY RATE THAT IS AUTHORIZED
19 AS PART OF THE MUNICIPALITY'S 2025-2026 FISCAL YEAR BUDGET OR UTILITY RATE
20 SCHEDULE[. EXCEPT THAT A MUNICIPALITY THAT HAS NOT RAISED UTILITY RATES BY
21 A CUMULATIVE AMOUNT OF TWELVE PERCENT OR MORE IN THE PRECEDING FOUR FISCAL
22 YEARS MAY INCREASE UTILITY RATES BY AN AMOUNT THAT IS NOT MORE THAN THE
23 RATE OF INFLATION AS DETERMINED BY THE CONSUMER PRICE INDEX AS PUBLISHED
24 BY THE UNITED STATES DEPARTMENT OF LABOR, BUREAU OF LABOR STATISTICS].

25 B. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION OR
26 RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE 30, 2030, A MUNICIPALITY
27 MAY NOT ADOPT OR IMPOSE A NEW TAX CLASSIFICATION OR EXPAND THE TAX BASE TO
28 ADDITIONAL TAXPAYERS.

1 C. IF A MUNICIPALITY HAS NOT ADOPTED A CONSOLIDATED OR
2 COMPREHENSIVE FEE, TAX OR UTILITY RATE SCHEDULE AS PART OF THE
3 MUNICIPALITY'S 2025-2026 FISCAL YEAR BUDGET, THE APPLICABLE FEE, TAX OR
4 UTILITY RATE, FOR THE PURPOSES OF THE FEE, TAX OR UTILITY RATE LIMITS
5 PRESCRIBED IN SUBSECTION A OF THIS SECTION, SHALL BE THE HIGHEST FEE, TAX
6 OR UTILITY RATE THAT IS IMPOSED BY THE MUNICIPALITY AT ANY TIME DURING THE
7 2025-2026 FISCAL YEAR.

8 D. A MUNICIPALITY MAY NOT CIRCUMVENT THIS SECTION BY DOING ANY OF
9 THE FOLLOWING:

10 1. RENAMING, RECLASSIFYING OR RESTRUCTURING A FEE, TAX OR UTILITY
11 RATE.

12 2. ALTERING METHODOLOGIES, ASSUMPTIONS, SERVICE AREAS, CUSTOMER
13 CLASSES OR COST-ALLOCATION PRACTICES.

14 3. IMPOSING A NEW CHARGE THAT IS SUBSTANTIALLY SIMILAR IN EFFECT TO
15 AN INCREASE IN A FEE, TAX OR UTILITY RATE THAT IS PROHIBITED BY THIS
16 SECTION.

17 4. ADOPTING OR AMENDING A FEE, TAX OR UTILITY RATE SCHEDULE DURING
18 THE 2025-2026 FISCAL YEAR FOR THE PRIMARY PURPOSE OF AVOIDING THE
19 APPLICATION OF THIS SECTION.

20 E. THIS SECTION APPLIES TO ALL MUNICIPAL FEES, TAXES AND UTILITY
21 RATES, REGARDLESS OF THE NAME OR TITLE, THAT ARE IMPOSED AS A CONDITION OF
22 ANY OF THE FOLLOWING:

23 1. CONDUCTING A TAXABLE TRANSACTION.

24 2. RECEIVING A GOVERNMENTAL SERVICE.

25 3. OBTAINING A PERMIT, LICENSE, APPROVAL OR INSPECTION.

26 4. CONNECTING TO OR RECEIVING MUNICIPALLY PROVIDED UTILITY SERVICE.

27 5. DEVELOPMENT, CONSTRUCTION, OCCUPANCY, OPERATION OR CHANGE IN
28 USE.

29 F. THIS SECTION DOES NOT APPLY TO [ANY OF THE FOLLOWING:

30 1.] AN INCREASE IN A MUNICIPAL TAX IF ALL OF THE FOLLOWING APPLY:

31 [1.][a)] THE TAX INCREASE IS APPROVED BY THE QUALIFIED ELECTORS OF
32 THE MUNICIPALITY.

33 [2.][b)] AT LEAST SIXTY PERCENT OF THE VOTES CAST AT THE ELECTION
34 ARE CAST IN FAVOR OF THE MEASURE.

35 [3.][c)] THE ELECTION IS HELD ON A CONSOLIDATED ELECTION DATE IN
36 AN EVEN-NUMBERED YEAR PURSUANT TO SECTION 16-204.

37 [2. AD VALOREM TAXES OR SPECIAL ASSESSMENTS LEVIED TO PAY THE
38 PRINCIPAL OF AND THE INTEREST AND REDEMPTION CHARGES ON BONDED
39 INDEBTEDNESS OR OTHER LAWFUL LONG-TERM OBLIGATIONS ISSUED OR INCURRED FOR
40 A SPECIFIC PURPOSE.

41 3. AD VALOREM TAXES OR ASSESSMENTS LEVIED BY OR FOR PROPERTY
42 IMPROVEMENT ASSESSMENT DISTRICTS, IMPROVEMENT DISTRICTS AND OTHER SPECIAL
43 PURPOSE DISTRICTS OTHER THAN A MUNICIPALITY OR COMMUNITY COLLEGE DISTRICT.

44 4. THE INITIAL ADOPTION OF A MUNICIPALITY'S TAX, FEE OR UTILITY
45 RATE STRUCTURE IF THE MUNICIPALITY WAS INCORPORATED WITHIN THE TWO
46 CALENDAR YEARS BEFORE THE EFFECTIVE DATE OF THIS SECTION. THIS SECTION

1 APPLIES TO THE MUNICIPALITY DESCRIBED IN THIS PARAGRAPH AFTER THE
2 MUNICIPALITY INITIALLY ADOPTS THE TAX, FEE OR UTILITY RATE STRUCTURE.]

3 G. THIS SECTION DOES NOT PROHIBIT ANY OF THE FOLLOWING:

4 1. THE EXPIRATION, REDUCTION OR ELIMINATION OF A FEE, TAX OR
5 UTILITY RATE.

6 2. THE COLLECTION OF A FEE, TAX OR UTILITY RATE THAT IS AT OR BELOW
7 THE AMOUNT THAT IS AUTHORIZED PURSUANT TO SUBSECTIONS A AND C OF THIS
8 SECTION.

9 3. AN INCREASE IN TOTAL REVENUE THAT RESULTS SOLELY FROM AN
10 INCREASE IN SERVICE DEMAND, USAGE OR GROWTH IN THE TAX BASE.

11 [4. THE ADOPTION, IMPOSITION OR COLLECTION OF A NEW OR INCREASED
12 RATE OR FEE PURSUANT TO SECTION 9-463.05 OR 9-511.01 TO FUND THE
13 ACQUISITION AND DELIVERY OF NEW OR ADDITIONAL WATER RESOURCES, INCLUDING
14 THE COST OF ANY PREVIOUSLY INCURRED OR FUTURE DEBT SERVICE OBLIGATIONS,
15 NEEDED STORAGE, TREATMENT OR DELIVERY INFRASTRUCTURE AND OPERATING AND
16 MAINTENANCE COSTS.]

17 H. A FEE, TAX OR UTILITY RATE ADOPTED, IMPOSED OR COLLECTED THAT IS
18 IN VIOLATION OF THIS SECTION IS VOID. A MUNICIPALITY THAT ADOPTS, IMPOSES
19 OR COLLECTS A FEE, TAX OR UTILITY RATE THAT IS IN VIOLATION OF THIS
20 SECTION IS SUBJECT TO ENFORCEMENT PURSUANT TO SECTION 41-194.01.

21 I. A TAXPAYER, RESIDENT, BUSINESS OR PROPERTY OWNER THAT IS
22 AGGRIEVED BY A VIOLATION OF THIS SECTION MAY BRING AN ACTION FOR
23 DECLARATORY OR INJUNCTIVE RELIEF IN A COURT OF COMPETENT JURISDICTION.
24 THE COURT MAY AWARD REASONABLE ATTORNEY FEES AND COSTS TO A PREVAILING
25 PLAINTIFF.

26 J. FOR THE PURPOSES OF THIS SECTION:

27 1. "FEE" MEANS ANY CHARGE IMPOSED BY A MUNICIPALITY THAT IS NOT A
28 TAX OR UTILITY RATE, REGARDLESS OF THE NAME OR TITLE.

29 2. "UTILITY SERVICE":

30 (a) MEANS MUNICIPALLY PROVIDED UTILITY SERVICES.

31 (b) INCLUDES WATER, WASTEWATER, STORMWATER, SOLID WASTE, ELECTRIC,
32 GAS OR SIMILAR SERVICES.

33 Sec. 2. Delayed repeal

34 Section 9-500.54, Arizona Revised Statutes, as added by this act, is
35 repealed from and after June 30, 2030.

36 Sec. 3. Title 11, chapter 2, article 4, Arizona Revised Statutes,
37 is amended by adding section 11-269.31, to read:

38 11-269.31. County fees; taxes; utility rates; increase;
39 moratorium; applicability; enforcement;
40 definitions

41 A. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION OR
42 RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE 30, 2030, A COUNTY MAY NOT
43 ADOPT, IMPOSE OR COLLECT ANY OF THE FOLLOWING:

44 1. A FEE THAT IS IN AN AMOUNT GREATER THAN THE AMOUNT THAT IS
45 AUTHORIZED IN THE FEE SCHEDULE THAT HAS BEEN ADOPTED BY THE COUNTY AS PART
46 OF THE COUNTY'S 2025-2026 FISCAL YEAR BUDGET, INCLUDING ANY FEE SCHEDULE

1 THAT IS ADOPTED BY AN ORDINANCE OR RESOLUTION OR THAT IS INCORPORATED BY
2 REFERENCE.

3 2. ANY TRANSACTION PRIVILEGE TAX OR SURCHARGE INCREASE BEYOND THE
4 RATE THAT IS IN EFFECT ON JUNE 30, 2026.

5 3. A RATE THAT IS IMPOSED FOR UTILITY SERVICE PROVIDED BY THE
6 COUNTY AND THAT IS GREATER THAN THE UTILITY RATE THAT IS AUTHORIZED AS
7 PART OF THE COUNTY'S 2025-2026 FISCAL YEAR BUDGET OR UTILITY RATE
8 SCHEDULE.

9 B. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER PROVISION OR
10 RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE 30, 2030, A COUNTY MAY NOT
11 ADOPT OR IMPOSE A NEW TAX CLASSIFICATION OR EXPAND THE TAX BASE TO
12 ADDITIONAL TAXPAYERS.

13 C. IF A COUNTY HAS NOT ADOPTED A CONSOLIDATED OR COMPREHENSIVE FEE,
14 TAX OR UTILITY RATE SCHEDULE AS PART OF THE COUNTY'S 2025-2026 FISCAL YEAR
15 BUDGET, THE APPLICABLE FEE, TAX OR UTILITY RATE, FOR THE PURPOSES OF THE
16 FEE, TAX OR UTILITY RATE LIMITS PRESCRIBED IN SUBSECTION A OF THIS
17 SECTION, SHALL BE THE HIGHEST FEE, TAX OR UTILITY RATE THAT IS IMPOSED BY
18 THE COUNTY AT ANY TIME DURING THE 2025-2026 FISCAL YEAR.

19 D. A COUNTY MAY NOT CIRCUMVENT THIS SECTION BY DOING ANY OF THE
20 FOLLOWING:

21 1. RENAMING, RECLASSIFYING OR RESTRUCTURING A FEE, TAX OR UTILITY
22 RATE.

23 2. ALTERING METHODOLOGIES, ASSUMPTIONS, SERVICE AREAS, CUSTOMER
24 CLASSES OR COST-ALLOCATION PRACTICES.

25 3. IMPOSING A NEW CHARGE THAT IS SUBSTANTIALLY SIMILAR IN EFFECT TO
26 AN INCREASE IN A FEE, TAX OR UTILITY RATE THAT IS PROHIBITED BY THIS
27 SECTION.

28 4. ADOPTING OR AMENDING A FEE, TAX OR UTILITY RATE SCHEDULE DURING
29 THE 2025-2026 FISCAL YEAR FOR THE PRIMARY PURPOSE OF AVOIDING THE
30 APPLICATION OF THIS SECTION.

31 E. THIS SECTION APPLIES TO ALL COUNTY FEES, TAXES AND UTILITY
32 RATES, REGARDLESS OF THE NAME OR TITLE, THAT ARE IMPOSED AS A CONDITION OF
33 ANY OF THE FOLLOWING:

34 1. CONDUCTING A TAXABLE TRANSACTION.

35 2. RECEIVING A GOVERNMENTAL SERVICE.

36 3. OBTAINING A PERMIT, LICENSE, APPROVAL OR INSPECTION.

37 4. CONNECTING TO OR RECEIVING COUNTY-PROVIDED UTILITY SERVICE.

38 5. DEVELOPMENT, CONSTRUCTION, OCCUPANCY, OPERATION OR CHANGE IN
39 USE.

40 F. THIS SECTION DOES NOT APPLY TO [ANY OF THE FOLLOWING:

41 1.] AN INCREASE IN A COUNTY TAX IF ALL OF THE FOLLOWING APPLY:

42 [1-][a)] THE TAX INCREASE IS APPROVED BY THE QUALIFIED ELECTORS OF
43 THE COUNTY.

44 [2-][b)] AT LEAST SIXTY PERCENT OF THE VOTES CAST AT THE ELECTION
45 ARE CAST IN FAVOR OF THE MEASURE.

46 [3-][c)] THE ELECTION IS HELD ON A CONSOLIDATED ELECTION DATE IN
47 AN EVEN-NUMBERED YEAR PURSUANT TO SECTION 16-204.

1 [2. AD VALOREM TAXES OR SPECIAL ASSESSMENTS LEVIED TO PAY THE
2 PRINCIPAL OF AND THE INTEREST AND REDEMPTION CHARGES ON BONDED
3 INDEBTEDNESS OR OTHER LAWFUL LONG-TERM OBLIGATIONS ISSUED OR INCURRED FOR
4 A SPECIFIC PURPOSE.

5 3. AD VALOREM TAXES OR ASSESSMENTS LEVIED BY OR FOR PROPERTY
6 IMPROVEMENT ASSESSMENT DISTRICTS, IMPROVEMENT DISTRICTS AND OTHER SPECIAL
7 PURPOSE DISTRICTS OTHER THAN A COUNTY OR COMMUNITY COLLEGE DISTRICT.

8 4. AD VALOREM TAXES LEVIED BY A COUNTY FOR SUPPORT OF A SCHOOL
9 DISTRICT.]

10 G. THIS SECTION DOES NOT PROHIBIT ANY OF THE FOLLOWING:

11 1. THE EXPIRATION, REDUCTION OR ELIMINATION OF A FEE, TAX OR
12 UTILITY RATE.

13 2. THE COLLECTION OF A FEE, TAX OR UTILITY RATE THAT IS AT OR BELOW
14 THE AMOUNT THAT IS AUTHORIZED PURSUANT TO SUBSECTIONS A AND C OF THIS
15 SECTION.

16 3. AN INCREASE IN TOTAL REVENUE THAT RESULTS SOLELY FROM AN
17 INCREASE IN SERVICE DEMAND, USAGE OR GROWTH IN THE TAX BASE.

18 H. A FEE, TAX OR UTILITY RATE ADOPTED, IMPOSED OR COLLECTED THAT IS
19 IN VIOLATION OF THIS SECTION IS VOID. A COUNTY THAT ADOPTS, IMPOSES OR
20 COLLECTS A FEE, TAX OR UTILITY RATE THAT IS IN VIOLATION OF THIS SECTION
21 IS SUBJECT TO ENFORCEMENT PURSUANT TO SECTION 41-194.01.

22 I. A TAXPAYER, RESIDENT BUSINESS OR PROPERTY OWNER THAT IS
23 AGGRIEVED BY A VIOLATION OF THIS SECTION MAY BRING AN ACTION FOR
24 DECLARATORY OR INJUNCTIVE RELIEF IN A COURT OF COMPETENT JURISDICTION.
25 THE COURT MAY AWARD REASONABLE ATTORNEY FEES AND COSTS TO A PREVAILING
26 PLAINTIFF.

27 J. FOR THE PURPOSES OF THIS SECTION:

28 1. "FEE" MEANS ANY CHARGE IMPOSED BY A COUNTY THAT IS NOT A TAX OR
29 UTILITY RATE, REGARDLESS OF THE NAME OR TITLE.

30 2. "UTILITY SERVICE":

31 (a) MEANS COUNTY-PROVIDED UTILITY SERVICES.

32 (b) INCLUDES WATER, WASTEWATER, STORMWATER, SOLID WASTE, ELECTRIC,
33 GAS OR SIMILAR SERVICES.

34 Sec. 4. Delayed repeal

35 Section 11-269.31, Arizona Revised Statutes, as added by this act,
36 is repealed from and after June 30, 2030.

37 Sec. 5. Severability

38 If a provision of this act or its application to any person or
39 circumstance is held invalid, the invalidity does not affect other
40 provisions or applications of the act that can be given effect without the
41 invalid provision or application, and to this end the provisions of this
42 act are severable.

43 Sec. 6. Legislative findings and intent

44 A. The legislature finds that:

45 1. Arizona residents and businesses continue to experience elevated
46 inflation and rising costs, including housing, utilities, construction,

1 labor and essential services, placing increased pressure on household
2 budgets and economic activity.

3 2. Local government taxes, fees and utility rates materially affect
4 affordability, business formation, housing development and the overall
5 cost of living throughout this state.

6 3. Municipalities and counties regularly adopt annual budgets, tax
7 rates and fee and utility rate schedules, which reflect policy judgments
8 about reasonable and necessary charges for services at a given point in
9 time.

10 4. Advancements in technology, including artificial intelligence
11 and automation, present unprecedented opportunities for local governments
12 to streamline operations, improve service delivery, increase productivity,
13 and reduce the need for ongoing growth in full-time staffing levels.

14 5. This state has recognized the importance of operational
15 efficiency, including through executive initiatives such as the Arizona
16 capacity and efficiency initiative, which emphasizes identifying
17 efficiencies, modernizing operations and improving government performance,
18 recognizing potentially hundreds of millions of dollars in cost savings
19 that should be passed on to taxpayers.

20 6. Temporary restraint on local fee, tax and utility rate increases
21 encourages local governments to prioritize efficiency, innovation and
22 responsible fiscal management, while preserving the ability to meet
23 service demands through improved processes and increased service volume.

24 7. Local governments retain discretion to manage expenditures,
25 staffing, service levels and capital planning within existing fee, tax and
26 utility rate structures during the moratorium period.

27 B. It is the intent of the legislature to:

28 1. Provide temporary relief to residents and businesses by
29 stabilizing locally imposed fees, taxes and utility rates during a period
30 of elevated inflation and economic uncertainty.

31 2. Encourage local governments to pursue efficiencies and
32 modernization before increasing costs borne by residents and businesses.

33 3. Preserve predictability and transparency in local government
34 fee, tax and rate structures by anchoring charges to duly adopted budgets
35 and schedules.

36 4. Respect constitutional limitations, existing contractual
37 obligations and voter-approved authorities, while promoting affordability
38 and economic stability statewide.

39 Enroll and engross to conform

40 Amend title to conform

JUSTIN OLSON

House Amendments to H.B. 4030

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03/11/2026

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